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The Rich Report

U.S. Economics News:

- **Valuation Rotation:** Large-cap underperformance in 2026 appears tied to elevated multiples meeting hawkish rate expectations driven by the Iran conflict and surging energy prices. The S&P 500 trades at a 21.85x forward P/E versus 17x for mid and small-cap peers, yet analysts project record earnings across all five indices, which may provide fundamental support for currently stretched large-cap multiples.[3]
- **Housing Starts Beat:** March housing starts surged 10.8% to a 1.502 million annualized rate, a fifteen-month high that beat even the most optimistic Bloomberg survey estimate, with single-family starts up 9.7% and multi-unit up 13.3% — gains spread across all four major regions — though part of the jump reflects a bounce from February's weather-related weakness.[3]
- **Fed Leadership Transition:** In Jerome Powell's final meeting as Fed Chair — with Kevin Warsh cleared by the Senate Banking Committee and set to take over May 15th — the FOMC held rates at 3.5–3.75% while generating the most dissents in over 30 years, with three regional presidents objecting to the retention of an easing bias amid elevated inflation driven by surging energy prices tied to the Iran conflict.[3]
- **Soft Q1 GDP:** U.S. real GDP grew at a 2.0% annualized rate in Q1 2026, below the 2.3% consensus and matching the average pace since the pre-financial crisis peak in late 2007. Business investment was the standout, growing at a 10.4% rate — the fastest in nearly three years — driven by equipment (+17.2%) and intellectual property (+13.0%), primarily AI-related spending, while net exports subtracted 1.3 percentage points.[3]
- **PCE Inflation Spike:** The PCE deflator — the Fed's preferred inflation gauge — jumped 0.7% in March, the largest monthly gain since 2022, lifting the year-over-year rate to 3.5%, a level last seen in early 2023. Core PCE (ex-food and energy) rose 0.3% with the annual rate climbing to 3.2%, a notable acceleration from the 2.7% pace recorded twelve months earlier, complicating the Fed's path to any rate relief.[3]
- **Refinery Mismatch:** U.S. domestic shale production is predominantly light sweet crude, while American refineries were historically built to process heavier, high-sulfur grades — with Canada alone supplying 62% of U.S. crude imports and 24% of refinery throughput in 2024. Retooling refineries to rely solely on domestic light crude would require billions in investment and years of buildout, meaning the structural import dependency for heavy crude — and the associated global price linkage — is unlikely to change soon.[3]
- **Manufacturing Expansion:** The ISM Manufacturing Index held steady at 52.7 in April — the fastest pace since 2022 and the fourth consecutive month of expansion — with new orders rising to 54.1 and order backlogs in expansion territory for the fourth straight month after contracting for 39 consecutive months, signaling genuine demand recovery rather than a temporary bounce.[3]

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Digital Assets News:

- **Brazil's Central Bank Restricts Stablecoin Use in Cross-Border Payments:** Brazil's Banco Central do Brasil has prohibited fintechs and licensed payment institutions from settling international transactions using stablecoins or other cryptocurrencies, citing concerns over capital flow controls and monetary sovereignty. The regulation targets institutional payment infrastructure rather than individual holdings — retail investors retain the legal right to hold and manage crypto assets privately.[5]
- **BTC-Oil Resilience:** Despite Iran-related geopolitical flare-ups rattling energy markets and equities, Bitcoin demonstrated notably stronger resilience than oil, which faced volatile supply-risk swings. Analysts attribute this decoupling partly to structural demand from spot ETFs — approved in early 2024 — which now provide consistent institutional buying pressure, establishing a more dependable price floor compared to previous cycles driven largely by retail speculation.[5]
- **JPMorgan Clarity:** JPMorgan indicated that passage of the CLARITY Act would resolve longstanding jurisdictional ambiguity between the SEC and CFTC, providing the defined legal framework institutional investors have demanded before deploying capital at scale. The bank added that clearer rules would also accelerate asset tokenization by giving issuers confidence to build compliant infrastructure within U.S. markets rather than seeking friendlier regulatory environments abroad.[5]

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Geopolitics News:

- **Iran:** Two months into the US-Israel war, the IRGC has effectively supplanted the Supreme Leader's authority, with Mojtaba Khamenei largely serving to legitimize decisions made by hardline generals rather than directing them. This fragmented command structure is slowing Iran's negotiating responses — Pakistani mediators report 2-3 day delays — while hardening Tehran's stance on what concessions it will accept.[1]
- **Iran:** Iran's rial hit a record low of 1.8 million to the dollar as the US naval blockade continues choking oil exports. Basic goods prices — including food, cooking oil, and household staples — are rising sharply. With only 40% of trade redirectable away from blockaded ports, Iran is resorting to rail shipments to China and improvised storage to avoid a forced production shutdown that would further devastate government revenues.[1]
- **Iran/US:** As the US-Iran ceasefire holds, the Trump administration launched "Project Freedom" — a military-escorted initiative to guide stranded commercial vessels through the Strait of Hormuz. Iran threatened to strike any unauthorized vessel, and a UAE tanker was reportedly targeted by Iranian drones. Iran denied hitting a US frigate despite Fars News reporting otherwise. Separately, Iran submitted a new 14-point peace proposal, which Trump suggested he would likely reject.[1]
- **Iran/UAE:** The UAE quit OPEC effective May 1, citing the need to respond more nimbly to the energy crisis caused by the Iran war. The exit widens a rift with Saudi Arabia and prompts a broader UAE review of its multilateral memberships, though officials ruled out further departures for now. The UAE was OPEC's third-largest producer; its departure signals a deepening Abu Dhabi-Riyadh rivalry over oil policy, regional influence, and foreign investment competition.[1]
- **Japan:** Japan's yen surged after apparent government intervention as the currency approached 160 yen to the dollar — a threshold that has historically triggered Tokyo's action in currency markets. The Iran war has added inflationary and risk-related pressure on top of existing concerns about the Bank of Japan's slow rate-hiking pace and Prime Minister Takaichi's expansionary fiscal stance. The dollar has gained roughly 15% against the yen over three years.[1]
- **UAE:** Abu Dhabi's state oil company ADNOC announced $55 billion in domestic manufacturing spending through 2028, accelerating supply chain localization amid Middle East infrastructure vulnerability exposed by the Iran war. The investment spans upstream and downstream operations and reflects a broader Gulf push to reduce dependence on global supply chains weakened by COVID-19, trade disputes, and active regional conflict.[1]
- **US/Hormuz Coalition:** The Trump administration circulated an internal State Department cable asking US embassies to recruit foreign governments into a "Maritime Freedom Construct" — a coalition to share intelligence, coordinate diplomacy, and enforce sanctions aimed at reopening the Strait of Hormuz to commercial traffic. The effort signals Washington wants multilateral cover for managing the strait rather than bearing the burden alone.[1]

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The Good News:

- **Appalachian Lithium:** A new USGS survey estimates the Appalachian Mountains hold over 2.3 million metric tons of lithium oxide — enough to replace U.S. imports for roughly a century. Concentrated in the Carolinas, Maine, and New Hampshire, the deposits could restore American mineral independence at a critical moment, as lithium demand surges globally for EV batteries and energy storage.[2]
- **Water-Positive Data Centers:** Veolia and Amazon are partnering to build Mississippi's first data center cooled entirely with reclaimed wastewater, expected online in 2027. The system will repurpose over 83 million gallons of potable water annually — equivalent to the yearly usage of 760 homes — helping Amazon reach its goal of being water-positive across its data center operations by 2030.[2]
- **Semaglutide for Addiction:** A randomized, double-blind Lancet trial found that once-weekly semaglutide — the active ingredient in Ozempic and Wegovy — produced strongly significant reductions in alcohol consumption among patients with alcohol use disorder and obesity, adding to growing evidence that GLP-1 receptor agonists may offer a genuinely novel treatment pathway for addiction.[2]

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Dividend Portfolio News:

- **ADP:** Beat Q3 estimates and raised FY2026 guidance, now forecasting revenue growth of 6%-7% and adjusted EPS growth of 10%-11%, driving a post-earnings stock bounce.[4]
- **CAT:** Delivered a blowout Q1 — EPS of $5.54 beat by $0.90, revenue of $17.4B beat by $980M — hitting an all-time high.[4]
- **CHD:** Q1 Non-GAAP EPS of $0.95 beat by $0.02; revenue of $1.12B missed slightly, but organic sales topped expectations. Management reiterated 2026 guidance of 3%-4% organic sales growth and 5%-8% EPS growth despite a $25M-$30M inflation headwind. Declared a $0.3075 quarterly dividend.[4]
- **CL:** Q1 Non-GAAP EPS of $0.97 beat by $0.03, revenue of $5.32B beat by $100M. Full-year guidance reiterated; shares gained on the result.[4]
- **GD:** Q1 GAAP EPS of $4.10 beat by $0.41, revenue of $13.5B beat by $790M, led by marine and aerospace segments. Backlog reached $131B; management signaled 2026 EPS of $16.45-$16.55. A subsidiary also won a $716M U.S. Army vehicle support contract.[4]
- **LMT:** Won a $1.13B Army contract for HIMARS launcher production. Israel approved a major F-35 and F-15 fighter jet expansion, and the U.S. reportedly sought to deploy hypersonic missiles for potential use against Iran — both developments favorable to Lockheed's pipeline. The U.S. also approved $8.6B in military sales to Middle Eastern allies.[4]
- **PCAR:** Raised its quarterly dividend 6.1% to $0.35. Q1 GAAP EPS of $1.15 narrowly missed by $0.01, while revenue of $6.78B beat by $420M.[4]
- **QCOM:** Q2 Non-GAAP EPS of $2.65 beat by $0.09; revenue of $10.59B was in-line despite a 13% decline in handset revenue. The headline story was a hyperscaler/data center win that excited investors. Q3 revenue guidance of $9.2B-$10B was below some expectations, but automotive and IoT revenue rose 20% YoY. Intel hired another ex-Qualcomm executive for its Client Computing group.[4]
- **SYK:** Posted a rare double miss — Non-GAAP EPS of $2.60 missed by $0.38, revenue of $6B missed by $330M — partly attributed to a cyber incident recovery. Despite the shortfall, management maintained 2026 guidance of 8%-9.5% organic sales growth and $14.90-$15.10 adjusted EPS.[4]
- **VLO:** Delivered a strong Q1 — Non-GAAP EPS of $4.22 beat by $1.06, revenue of $32.38B beat by $2.51B. Plans to run refineries at up to 95% capacity in Q2. Ended fuel production at the Benicia refinery, and a $230M St. Charles FCC optimization project is expected online in Q3 2026.[4]

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Growth Portfolio News

- **AEM:** Agnico Eagle posted Q1 Non-GAAP EPS of $3.40, beating by $0.19. The company reiterated 2026 cost guidance, raised its NCIB share buyback limit to $2B (TSX-approved), and targets 20–30% production growth over the next decade — underscoring confidence in its long-term pipeline despite gold price volatility.[4]
- **CNX:** CNX Resources beat Q1 top- and bottom-line estimates and reaffirmed its FY26 outlook.[4]
- **CVX:** Chevron reported Q1 Non-GAAP EPS of $1.41, beating by $0.44, though revenue of $48.61B missed by $4.09B.[4]
- **EIX:** Edison International beat Q1 Non-GAAP EPS estimates at $1.42 (+$0.09), though revenue missed slightly. The company reaffirmed 2026 core EPS guidance of $5.90–$6.20 and outlined an ambitious $38–41B capital investment plan through 2030, reflecting ongoing grid modernization and wildfire recovery infrastructure spending.[4]
- **HOOD:** Robinhood missed Q1 estimates on both EPS ($0.38, -$0.01) and revenue ($1.07B, -$70M), sending shares lower and breaking a key technical trend line. Management guided $2.7–2.825B in 2026 adjusted OpEx and plans a Q2 Rothera launch. Ark bought ~$39M in HOOD shares post-earnings, signaling contrarian conviction.[4]
- **HUT:** Hut 8 priced $3.25B in senior secured notes, a significant capital raise that could fund expansion of its Bitcoin mining and high-performance computing infrastructure.[4]
- **MARA:** MARA Holdings agreed to acquire Long Ridge Energy from FTAI Infrastructure for $1.5B, expanding beyond Bitcoin mining into energy infrastructure.[4]
- **NVDA:** Multiple positive catalysts: Nvidia inked a Pentagon AI deal for classified workloads, expanded India presence with a $130M Bengaluru lease, invested in AI legal tech Legora, and launched the Nemotron 3 Nano Omni multimodal model. B300 servers reportedly hit $1M in China amid export curbs. Morgan Stanley raised semiconductor price targets broadly.[4]
- **NXPI:** NXP Semiconductors surged ~25% after beating Q1 Non-GAAP EPS ($3.05, +$0.08) and revenue ($3.18B, +$20M), driven by auto and AI growth. Q2 revenue guidance of $3.45B impressed analysts, and management projected 2026 data center revenue exceeding $500M — a new and bullish disclosure for the segment.[4]
- **OKE:** ONEOK reported Q1 GAAP EPS of $1.23, missing by $0.07, though it raised its 2026 net income outlook to $3.5B with adjusted EBITDA midpoint of $8.25B.[4]
- **TSM:** Taiwan Semiconductor sold its entire $231M stake in Arm Holdings during the week, an unusual portfolio move drawing attention. TSM remains a closely watched name amid ongoing AI infrastructure buildout and geopolitical scrutiny over U.S.-Taiwan semiconductor supply chains.[4]

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Summary:

In regard to the United States Economy, the data this week painted a mixed but resilient picture. Q1 GDP grew at a modest 2.0% annualized rate, though business investment surged at a 10.4% pace driven by AI-related spending. Manufacturing expanded for a fourth straight month, housing starts hit a fifteen-month high, and personal income beat expectations. However, PCE inflation spiked to 3.5% year-over-year, complicating the Fed's path forward as Jerome Powell concluded his tenure as chair.

In the world of digital assets, Bitcoin demonstrated notable resilience relative to oil markets despite Iran-related geopolitical volatility, a decoupling analysts attribute to consistent institutional buying through spot ETFs established in early 2024. Passage of the CLARITY Act would resolve longstanding SEC and CFTC jurisdictional overlap, providing the legal framework institutional investors have awaited before deploying capital at scale. Brazil also restricted stablecoins from cross-border institutional payments, though retail holdings remain permitted.

Recently around the globe, the Iran conflict continued reshaping energy markets and geopolitics. Iran's rial hit record lows as a naval blockade choked oil exports, while fragmented command within Tehran slowed ceasefire negotiations. The UAE exited OPEC to respond more nimbly to the energy crisis, widening its rivalry with Saudi Arabia. The Trump administration launched a maritime coalition effort to reopen the Strait of Hormuz, and Japan's yen approached historical intervention thresholds amid compounding regional pressures.

For the good news, a USGS survey identified over 2.3 million metric tons of lithium oxide in the Appalachian Mountains — enough to replace U.S. imports for roughly a century — offering a meaningful path toward domestic mineral independence as global demand accelerates. Separately, a randomized Lancet trial found that semaglutide produced significant reductions in alcohol consumption among patients with alcohol use disorder, suggesting GLP-1 receptor agonists may represent a novel addiction treatment pathway.

In the news for the dividend portfolio, earnings season delivered broadly strong results. Caterpillar posted a blowout quarter, beating EPS estimates by $0.90 and hitting an all-time high. General Dynamics beat on both earnings and revenue with its backlog reaching $131 billion. Lockheed Martin secured a $1.13 billion HIMARS contract amid rising Middle East military demand. Valero ran refinery capacity near 95% on strong quarterly results, while ADP raised full-year guidance.

And, for the growth portfolio, Nvidia secured a Pentagon AI contract, expanded in India, and launched a new multimodal model as Morgan Stanley raised semiconductor price targets broadly. NXP Semiconductors surged roughly 25% on strong earnings and bullish data center guidance. MARA Holdings announced a $1.5 billion acquisition pivoting into energy infrastructure. Agnico Eagle raised its buyback limit to $2 billion while reiterating cost guidance.

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